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RE: AER-2023-1106: Back to the 1980s or Not? The Drivers of Inflation and Real Risks in Treasury Bonds

Dear Professor Pflueger,

I have heard back from three expert reviewers on your paper entitled “Back to the 1980s or Not? The Drivers of Inflation and Real Risks in Treasury Bonds”, submitted for publication at the *American Economic Review*. The reports are attached. I have read your paper with interest as well. Unfortunately, I do not have good news.

The referees and I found much to admire in your paper. The paper studies an important question and displays a skillful combination of empirics and theory. It clearly provides a valuable contribution to the literature.

While the referees find the paper to be interesting and well executed, they do not think the paper is a good fit for the *American Economic Review*. All three referees definitively recommend rejection.

The referee reports are long and detailed and I will not attempt to summarize them here. While all the referees are sympathetic to your analysis, the referees emphasize the bar for a paper on this topic at the *AER* is high given the existing literature (including your own work). While the referees like the paper, they feel the contribution isn’t quite broad enough for the *AER*.

Two referees also emphasize there has been a reversal of the stock-bond return correlation since the end of your sample period. **They emphasize this needs to be discussed in your paper.** There are also calls for a better explanation of the complex/non-standard features of the model, and a justification for why these features are to be preferred relative to other models that might also fit the data.

In terms of motivation and framing, there are a lot of useful expositional suggestions in the referee report that starts “The paper studies the stock-bond correlation...”. I understand the challenge you face: trying to communicate a sophisticated model along with new empirical facts, but the referees’ reactions suggest there would be high returns to continuing to work on the paper’s exposition.

I find your paper to be interesting and engaging, but at the end of the day, the referees have convinced me that the novel parts of your current submission do not make a definitive enough advance for the *AER*. We must therefore pass on your very fine submission.

I know that this is not the news you were hoping for. While you may not agree with all the referee comments, I do hope you find them useful as you revise the paper for submission to another journal.

Personally, I think a revised version of your paper would be a strong candidate for a top field journal such as *AEJ Macro* if you decided to submit it there (but of course, the Editors at *AEJ Macro* make their own decisions). One of the referees explicitly mentions *AEJ Macro*, another mentions the *JME* or *JFE*. Your paper would undoubtedly be a strong candidate at other top finance journals as well.

Thank you very much for giving us the opportunity to consider your fine paper.

Regards,

Emi Nakamura
Coeditor
American Economic Review